China has anchored its push into India's immediate neighbourhood through infrastructure investments under the Belt and Road Initiative (BRI). These are massive, unprecedented investments. The investments already made add up to around US$8 to 10 billion in each of the countries under review in this chapter. This investment is expected to grow to the level of US$30 to 40 billion if all the conceived and proposed projects come into operation. The projects are in the power sector, rail and road connectivity, ports, aviation, and communication.[18] Some of the projects have either been completed, like the Hambantota port in Sri Lanka, or are expeditiously in progress, like the Pokhara airport in Nepal and Payra Power plant in Bangladesh.

Besides its investments in infrastructure, China has also stepped up its cultural diplomacy in these countries by reviving and strengthening Buddhist linkages in Sri Lanka, Bangladesh, and Nepal to link them with the BRI. Lumbini, Buddha's birthplace in Nepal, has been targeted for financial support to build it as an alternative Buddhist shrine to Bodh Gaya in India – the place where Buddha attained enlightenment.[19] China also plans to connect Lumbini through a transport network with the Chinese Buddhist circuit.[20] China is also cultivating diverse political constituencies in India's neighbourhood, especially the communists (both the Maoists and the United Marxist-Leninists) in Nepal and the Rajapaksa faction of the Sri Lanka Freedom Party. On the whole, China's strategic presence and visibility in India's neighbourhood have been markedly enhanced. All the neighbours of India, with the exception of Bhutan, have endorsed China's BRI and are keen to take advantage of the resources being made available, ignoring India's strong opposition to the Chinese initiative. China is also reaching out to Bhutan through commercial and Buddhist channels.